

Asia Emerging Robotics

Leader Harmonious Drive Systems Co., Ltd.

Rating

Underperform

Price Target

688017.CH

115.00 CNY



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Leader Drive: Record-low GP margin points to intensifying competition

Leader Drive reported 1H26 results with revenue largely in line, but net profit came in below expectations, primarily due to weaker-than-expected GP margin (Exhibit 1). While we have maintained a conservative view on the company, the record-low GP margin of 31.3% in 2Q26 still surprised us (Exhibit 4). The company will not host a conference call this quarter, limiting investors' visibility into the margin weakness. Separately, the company announced a plan to pursue a dual listing in Hong Kong. Our updated model is available [here](#).

Declining GP margin points to intensifying competition. ASP erosion appears to be the primary driver of margin compression, especially given robust end-market demand (high utilization rates should support GP margin) and subdued raw material prices. In our view, Leader Drive is increasingly sacrificing pricing and profitability to defend its market share. The competitive threat from local competitors, e.g. Laifual Drive, is becoming more pronounced. Laifual's harmonic reducers were priced at ~RMB570 per unit in 2025 (vs. Leader Drive: ~RMB1,000, Exhibit 7). We think such a substantial pricing gap combined with humanoid OEMs' push for lower-cost sourcing is forcing Leader Drive to reduce ASPs. In addition, Laifual has been actively targeting leading humanoid customers while simultaneously undertaking aggressive capacity expansion. These efforts suggest a clear intention to gain share, which could further intensify pricing competition across the industry.

Valuation appears too rich. As highlighted in our initiation ([here](#)), our key concern has been the sustainability of the company's market share and margins. While Leader Drive is likely to benefit from rising humanoid robot demand from a volume standpoint, intensifying competition is likely to drive ASP declines, leading to slower revenue growth and, more importantly, margin pressure that could further weigh on profit growth. The stock is trading at 211x 1-year forward P/E (Exhibit 3), implying a far more optimistic outlook than our forecasts, as we project only a 20% net profit CAGR over 2025-30.

Investment Implications

Reiterate UP. We maintain our DCF-based PT of CNY 115 unchanged. The TP implies a 139x forward PE at end-2026.

Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
688017.CH (CNY)	0.69	0.76	0.83	Revenues (M)	570.71	794.99	1,047	--	Reported P/E (x)	423.0	382.9	353.4
OLD	--	0.83	0.96	Gross Margin (%)	36.9	31.5	30.0	--				
				Net Income Margin (%)	21.8	17.6	14.5	--				

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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Close Date	26 Aug 2026			
688017.CH Close Price (CNY)	292.87			
Price Target (CNY)	115.00			
Upside/(Downside)	(61)%			
52-Week Range	495.66/139.62			
ASIAx	1,965.49			
FYE	Dec			
Div Yield	0.1%			
Market Cap (CNY) (M)	53,692			
EV (CNY) (M)	52,285			
Performance	YTD	1M	6M	12M
Absolute (%)	52.5	(0.8)	23.6	93.0
ASIAx (%)	20.2	3.5	6.9	31.0
Relative (%)	32.3	(4.4)	16.6	62.0

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

EXHIBIT 1: **Leader Drive: 1H2026 results**

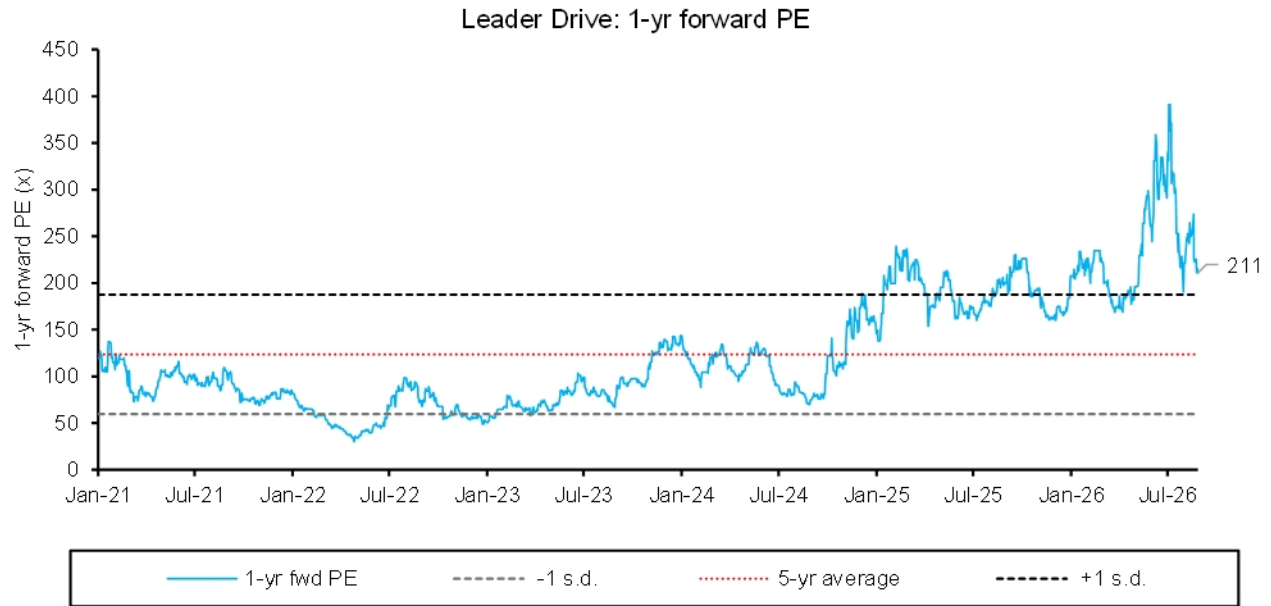
RMB million	Actual			Bernstein Estimates	
	1H26	1H25	YoY	1H26	Actual vs Bernstein
Revenue	349	251	38.6%	353	-1.3%
Gross Profit	112	87	28.6%	120	-6.5%
<i>Gross Margin</i>	32.3%	34.8%	-251bps	34.1%	-181bps
Operating Income	78	61	28.2%	85	-7.5%
<i>Operating Margin</i>	22.5%	24.3%	-183bps	24.0%	-152bps
Net Income (attributable)	70	53	31.3%	74	-5.8%
<i>Net Profit Margin</i>	20.1%	21.2%	-113bps	21.1%	-98bps
EPS	0.38	0.29	31.2%	0.41	-5.8%

Source: Company reports, Bernstein analysis and estimates

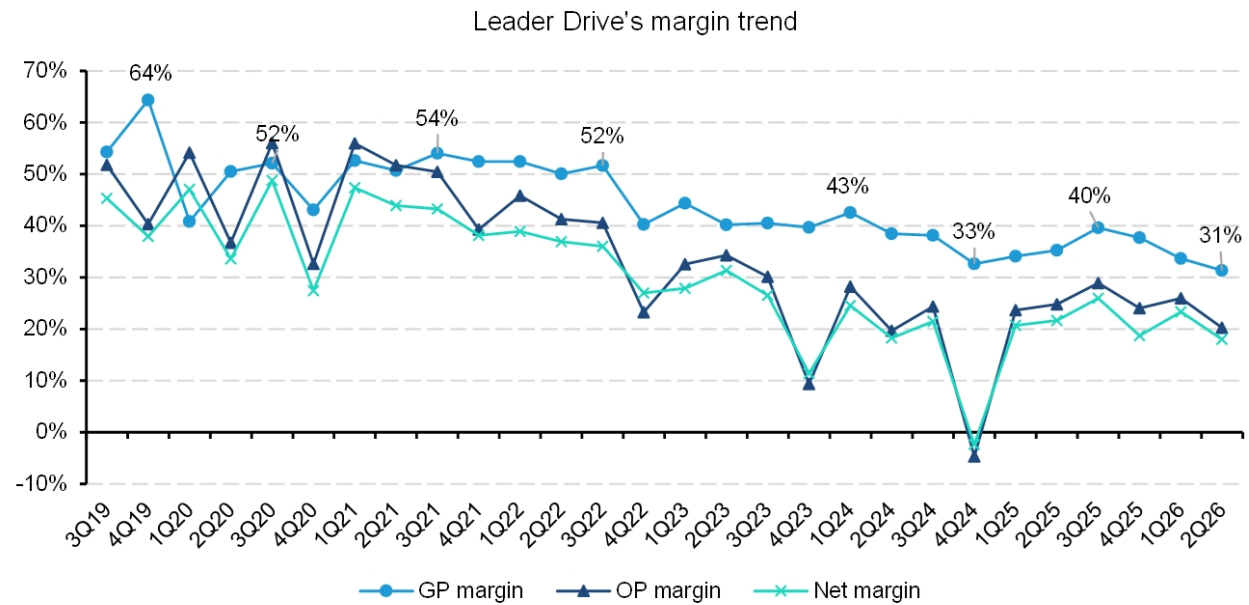
EXHIBIT 2: **Leader Drive: 2Q2026 results**

RMB million	Actual				
	2Q26	2Q25	YoY	1Q26	QoQ
Revenue	208	153	35.9%	140	48.7%
Gross Profit	65	54	20.9%	47	38.7%
<i>Gross Margin</i>	31.3%	35.2%	-387bps	33.6%	-227bps
Operating Profit	42	38	10.7%	36	15.7%
<i>Operating Margin</i>	20.2%	24.8%	-459bps	26.0%	-576bps
Net Income (attributable)	37	33	13.0%	33	14.8%
<i>Net Profit Margin</i>	18.0%	21.6%	-364bps	23.3%	-531bps
EPS	0.20	0.18	14.8%	0.18	14.8%

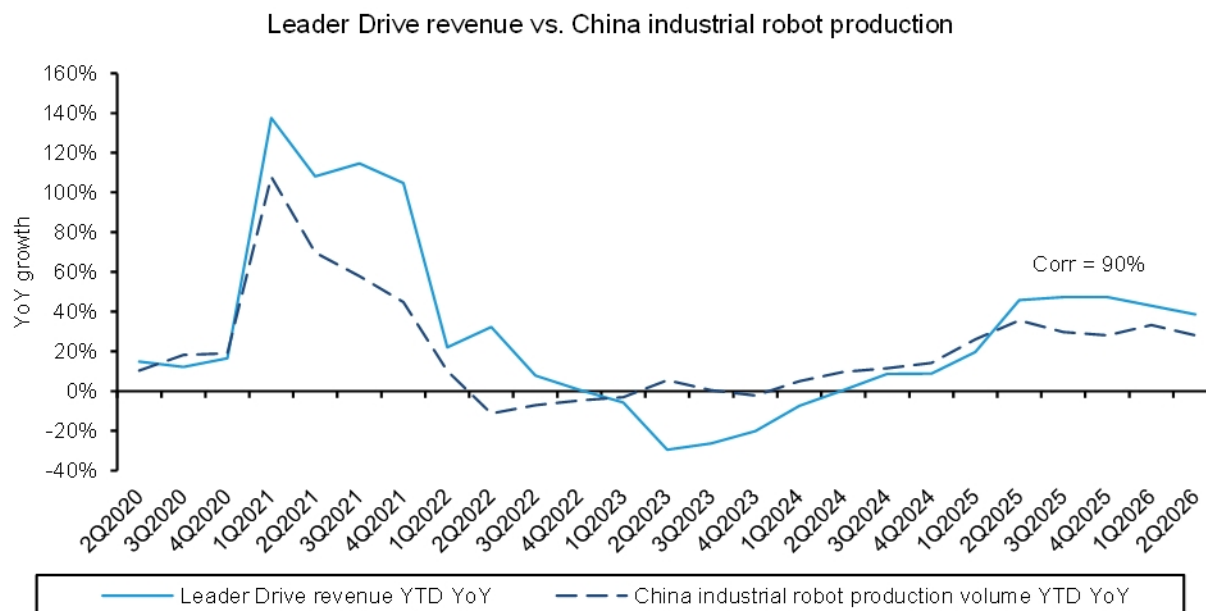
Source: Company reports, Bernstein analysis

EXHIBIT 3: **Leader Drive: 1-yr forward PE**

Source: Bloomberg, Bernstein analysis

EXHIBIT 4: **Leader Drive: Margin trends**

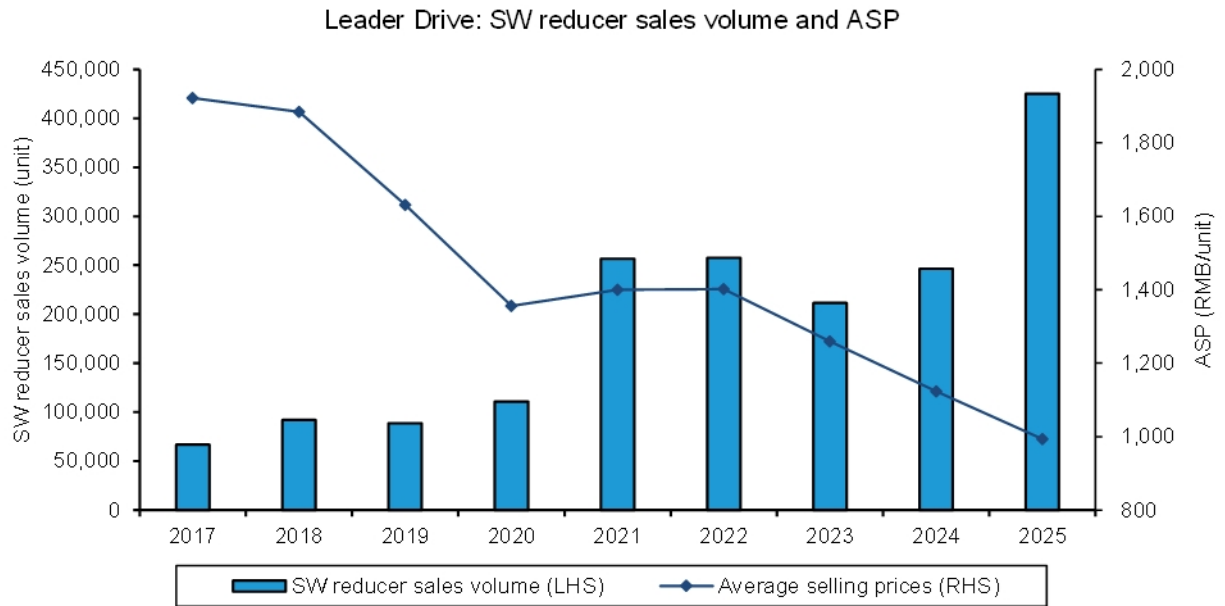
Source: Company reports, Bernstein analysis

EXHIBIT 5: **Leader Drive: Its revenue is correlated to China industrial robot production**

Source: Company reports, China NBS, Bernstein analysis

EXHIBIT 6: **Raw material price: Gear steel**

Source: Wind, Bernstein analysis

EXHIBIT 7: **Leader Drive: Strain-wave reducer sales volume and ASP**

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 8: **Leader Drive: Quarterly revenue**

Source: Company reports, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 9: Income Statement

In '000 RMB	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	443,351	445,745	356,166	387,411	570,714	794,991	1,047,349	1,421,618	1,825,183	2,378,879
Cost of Goods Sold	210,507	228,712	209,654	241,977	360,091	544,567	732,987	996,540	1,281,487	1,691,618
Gross Profit	232,845	217,033	146,511	145,434	210,623	250,425	314,361	425,078	543,696	687,261
SG&A	67,272	75,113	81,328	84,516	93,562	126,778	166,408	220,166	276,417	351,031
Selling expenses	8,668	5,877	10,894	12,949	13,239	17,300	21,994	28,432	35,690	44,442
Administrative expenses (incl. R&D)	58,605	69,236	70,433	71,567	80,323	109,478	144,414	191,734	240,727	306,588
Business taxes and levies	1,697	3,181	3,454	3,906	3,162	3,112	6,284	9,951	14,601	19,031
Impairment losses of assets	(13,363)	(20,339)	(17,883)	(34,256)	(29,827)	(31,133)	(41,894)	(49,757)	(45,630)	(59,472)
Finance Expense (Income)	(18,212)	(20,782)	(23,120)	(282)	1,727	2,052	2,095	2,843	3,650	4,758
Other Income (Expense)	46,651	29,994	24,617	37,798	63,139	71,633	77,986	98,909	104,204	110,153
Operating Profit	215,376	169,177	91,584	60,836	145,484	158,982	175,667	241,269	307,600	363,122
Non-Operating Income (Expense)	1,392	1,310	(12)	(72)	(1,181)	(1,775)	(2,324)	(3,192)	(4,024)	(5,302)
Profit before Tax	216,768	170,487	91,571	60,764	144,304	157,208	173,343	238,077	303,576	357,821
Income Tax Expense	26,685	14,085	6,739	4,955	18,445	13,329	16,722	24,431	28,683	35,005
Net Profit	190,082	156,403	84,832	55,809	125,859	143,879	156,621	213,645	274,893	322,816
Attributable Net Profit	189,184	155,302	84,155	56,168	124,367	140,243	151,922	207,236	266,646	313,131
Basic EPS (RMB)	1.57	0.92	0.50	0.33	0.69	0.76	0.83	1.13	1.45	1.71
Diluted EPS (RMB)	1.57	0.92	0.50	0.33	0.69	0.76	0.83	1.13	1.45	1.71

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 10: Balance Sheet

In '000 RMB	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash and bank balances	641,748	729,333	969,335	1,524,699	746,141	919,589	849,042	849,719	874,330	918,542
Trading securities	551,853	303,590	130,069	182,246	1,015,381	500,000	450,000	405,000	364,500	328,050
Notes receivable	39,968	44,081	19,993	53,314	60,983	110,702	144,900	186,052	227,090	284,797
Accounts receivable	62,058	74,716	97,242	146,536	194,498	315,445	410,317	543,483	678,574	858,670
Receivables Financing	5,608	6,263	12,617	7,276	9,164	11,826	15,264	20,913	26,310	34,677
Prepayments	15,418	25,548	11,053	13,451	7,089	9,911	12,973	17,836	22,460	29,608
Other receivables	5,105	10,572	2,594	2,167	2,586	3,616	4,733	6,507	8,193	10,801
Inventories	179,219	249,372	253,968	245,568	285,029	514,095	660,038	816,178	990,136	1,218,758
Other current assets	12,659	81,214	169,336	29,806	270,821	525,245	588,851	604,753	608,728	609,722
Investments	76,855	357,596	567,226	968,010	615,972	482,859	449,581	441,262	439,182	438,662
PP&E	331,375	348,404	391,889	404,732	426,150	522,830	628,225	669,664	708,686	733,583
Construction in progress	99,259	140,793	98,430	89,176	184,233	314,230	228,777	189,979	192,701	198,516
Right-of-use Assets	492	313	134	453	293	253	243	240	240	240
Intangible assets	19,190	20,208	61,526	58,690	56,758	76,091	92,582	107,445	121,026	133,673
Goodwill	-	-	-	-	-	-	-	-	-	-
Long-term deferred expenses	3,946	4,661	6,412	7,921	14,374	20,097	26,305	36,167	45,542	60,038
Deferred tax assets	8,527	9,575	12,013	12,602	14,085	16,497	17,333	18,555	19,989	21,739
Other non-current assets	31,182	8,959	8,236	8,673	25,571	24,559	34,172	51,840	60,031	81,062
Total Assets	2,084,461	2,415,198	2,812,073	3,755,317	3,929,127	4,367,845	4,613,336	4,965,594	5,387,717	5,961,137
Short-term borrowings	14,678	212,284	433,921	69,199	-	287,219	322,507	353,900	386,596	419,069
Trade payable (incl. notes payables)	130,231	58,953	41,686	67,404	168,274	152,732	204,975	291,398	386,784	568,472
Trade payable (incl. notes payables)	-	-	-	-	-	-	-	-	-	-
Receipts in advance	5,702	3,774	1,579	11,174	3,268	11,426	18,283	18,132	27,625	37,485
Contract liabilities	13,739	17,230	12,801	12,344	25,385	32,955	41,344	59,303	75,910	101,331
Payroll payable	4,919	9,057	6,814	3,319	23,532	19,206	24,988	41,706	47,806	65,480
Taxes payable	-	-	-	-	-	-	-	-	-	-
Interests payable	-	-	-	-	-	-	-	-	-	-
Dividend payable	574	660	1,614	4,152	4,777	18,194	28,176	30,626	44,179	60,033
Other payables	36,603	34,929	112,253	60,146	45,657	36,241	33,886	33,298	33,151	33,114
Other current liabilities	-	-	-	-	-	-	-	-	-	-
Long-term borrowings	-	99,073	124,186	39,628	-	5,862	16,974	39,322	68,223	104,767
Bonds payable	-	-	-	-	-	-	-	-	-	-
Lease Liability	317	143	-	286	126	84	74	71	70	70
Long-term payable	-	-	-	-	-	-	-	-	-	-
Deferred income	33,016	31,329	48,310	42,868	110,972	108,324	107,661	107,496	107,455	107,444
Deferred tax liabilities	10,374	13,174	11,119	14,561	3,908	3,092	2,888	2,837	2,825	2,822
Other non-current liabilities	-	-	-	-	-	-	-	-	-	-
Total liabilities	250,152	480,605	794,282	325,081	385,898	675,334	801,758	978,090	1,180,623	1,500,087
Paid-in capital	120,417	168,583	168,672	168,764	183,330	183,330	183,330	183,330	183,330	183,330
Other equity instruments	-	-	-	-	-	-	-	-	-	-
Capital reserve	1,370,563	1,331,111	1,340,111	2,747,318	2,738,018	2,738,018	2,738,018	2,738,018	2,738,018	2,738,018
Less: Treasury stock	-	-	-	-	-	-	-	-	-	-
Surplus reserve	35,910	50,715	58,996	64,901	78,607	92,155	108,080	130,081	158,013	190,908
Retained profits	310,075	372,301	431,308	430,970	523,309	650,004	742,588	880,793	1,055,355	1,253,048
Other comprehensive income	-	13,440	13,440	13,380	13,568	18,971	24,832	34,141	42,990	56,674
Translation of foreign currency statements	-	-	-	-	-	-	-	-	-	-
Minority interests	(2,655)	(1,557)	5,263	4,904	6,396	10,032	14,731	21,140	29,387	39,071
Total owner's equity	1,834,309	1,934,593	2,017,790	3,430,236	3,543,229	3,692,511	3,811,579	3,987,504	4,207,094	4,461,050
BVPS (RMB)	15.22	11.46	11.99	20.15	19.73	20.14	20.79	21.75	22.95	24.33

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 11: **Cash Flow Statement**

In '000 RMB	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net profit	190,062	156,403	84,832	55,809	125,859	143,879	156,621	213,645	274,893	322,816
Impairment, depreciation & amortization	42,739	63,918	67,219	95,116	90,615	99,552	127,934	148,454	151,423	170,985
Change in working capital	(163,899)	(185,394)	(4,081)	(104,699)	(15,603)	(555,720)	(210,399)	(223,068)	(235,656)	(251,658)
Other operating cashflow	(23,335)	(8,774)	1,318	(18,245)	(48,867)	238,444	(115,068)	(83,259)	(55,922)	(42,554)
Net cash flow from operating activities	45,588	26,153	149,289	27,981	152,004	(73,845)	(40,912)	55,771	134,739	199,589
Cash paid to acquire fixed assets and intangible assets	(140,074)	(87,355)	(76,017)	(32,437)	(99,745)	(258,752)	(161,228)	(163,382)	(203,642)	(211,407)
Other investing cashflow	193,286	(69,612)	(112,152)	(279,641)	(662,544)	217,494	130,701	104,429	99,720	74,314
Net cash flow from investing activities	53,212	(156,968)	(188,169)	(312,077)	(762,289)	(41,258)	(30,527)	(58,963)	(103,922)	(137,093)
Dividends paid	(30,630)	(80,388)	(26,852)	(63,067)	(22,370)	-	(43,414)	(47,029)	(64,153)	(82,544)
Other financing cashflow	4,323	296,318	350,123	902,901	(146,010)	292,103	44,306	50,888	57,946	64,260
Net cash flow from financing activities	(26,307)	215,931	323,271	839,834	(168,380)	292,103	892	3,868	(6,206)	(18,284)
FX	(983)	1,786	1,308	(373)	(542)	(2,901)	-	-	-	-
Net Increase in Cash and Cash Equivalents	71,510	86,902	285,698	555,364	(779,207)	174,098	(70,547)	677	24,611	44,212
Beginning balance of Cash and Cash Equivalents	525,224	596,734	683,635	969,334	1,524,698	745,491	919,589	849,042	849,719	874,330
Closing balance of Cash and Cash Equivalents	596,734	683,635	969,334	1,524,698	745,491	919,589	849,042	849,719	874,330	918,542

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	26 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
688017.CH (Leader Drive)	U	CNY	292.87	115.00	62.0%	CNY	0.69	0.76	0.83	423.0	382.9	353.4
OLD								0.83	0.96			
ASIA			1,965.49									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Leader Harmonious Drive Systems Co., Ltd.**

We use DCF as the primary valuation method. We set target prices at CNY 115.0 based on WACC of 8.3% and terminal growth rate of 3.0%, which reflects our long term forecast of the company's existing core business and rising contribution from robotics. We use PE method as a reference, with our target price implies a 120x forward PE at end-2026.

RISKS**Leader Harmonious Drive Systems Co., Ltd.**

Potential upside risks include: 1) official entry into leading humanoid robot makers; 2) breakthroughs or unexpected policy support in Chinese humanoid robot industry; 3) further market share gains in strain-wave reducers among global industrial robot leaders; and 4) proven commercial success of its roller screws.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

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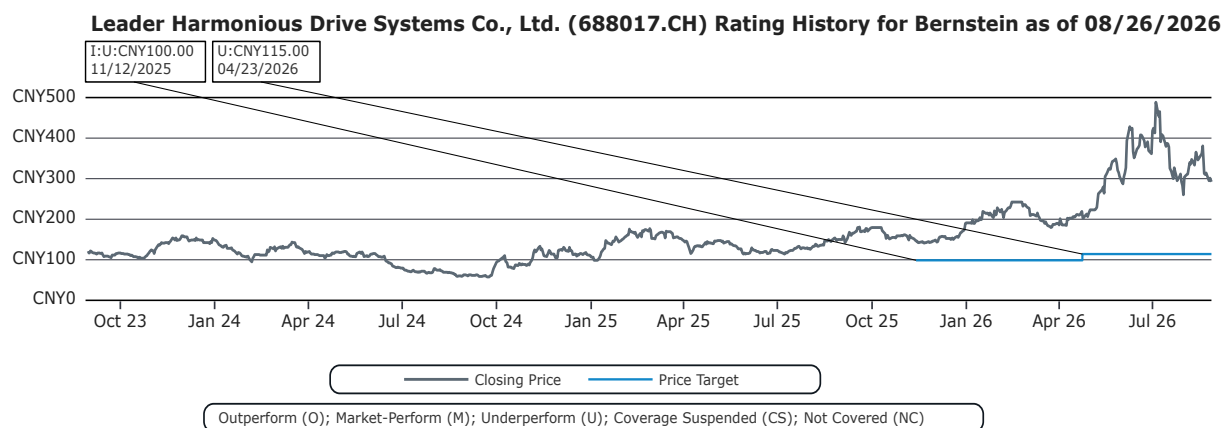
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